

REVENUE BULLETIN NO. 1-2003 issued on July 14, 2003 prescribes the procedures and guidelines for the proper handling of requests for rulings which are determined as “No Ruling Areas”, as well as provides the initial list thereof.

“No-Ruling Areas” are subject matters on which BIR offices are instructed not to accept any request for rulings. Said offices are: the Legal Service, particularly the Law Division and the International Tax Affairs Division, and the Legal Divisions in the Revenue Regions, as well as the VAT Review Committee. The “No-Ruling Areas” are the following:

- a) Tax treatment of the sale or disposition of Principal Residence
- b) Request for tax exemption in connection with a transfer of property pursuant to the Community Mortgage Program
- c) VAT treatment of the sale of goods or services to a PEZA-registered enterprise
- d) VAT treatment of imported articles
- e) Request for confirmation of tax privileges of Senior Citizens
- f) Tax treatment of the monetized leave credits of government officials and employees under Executive Order No. 291
- g) Tax treatment of the monetized value of unutilized vacation leave credits not in excess of 10 days
- h) Tax treatment of separation benefits under Section 32(B)(6)(b) of the Tax Code of 1997
- i) Confirmation of tax treatment of a given benefit, regardless of amount, where such benefit is already expressly enumerated as a “*de minimis*” benefit under pertinent regulations particularly RR No. 2-98 and RR No. 3-98, as amended
- j) Determination of whether there is/there is no substantial change in the ownership or enterprise for purposes of applying the Net Operating Loss Carry-over (NOLCO) provision
- k) Determination of whether an expense is ordinary or necessary
- l) Confirmation of whether a corporation is a publicly held corporation for purposes of the Improperly Accumulated Earnings Tax
- m) VAT treatment of export sales under Section 106 (A)(2)(a)(1) to (5) of the Tax Code of 1997, including transactions covered by RMO No. 9-2000
- n) VAT treatment of the sale or exchange of services except those under Section 108(B)(3) and (B)(4) of the Tax Code of 1997
- o) Claim for tax refund or issuance of Tax Credit Certificate as covered by Revenue Delegation Authority Order No. 3-2002
- p) Request for cancellation or abatement of a tax liability which should be filed with the Technical Working Committee
- q) Request for compromise settlement of any tax liability which should be filed with the National Evaluation Board or the Regional Evaluation Board
- r) Issue/s or transactions involving directly or indirectly the same taxpayer/s which is/are the subject of an investigation, on-going audit,

administrative protest, claim for refund or issuance of tax credit certificate, collection proceedings, or a judicial appeal

- s) Industry issues, which may not or may be subject of a protest raised by a related or unrelated taxpayer
- t) Request for rulings on issue/s or transactions based on hypothetical situations
- u) Request for rulings that are not accompanied by complete documents or information.

The appropriate Office may act on a ruling with respect to issue/s or transactions subject of a pending investigation, on-going audit, claim for refund or issuance of a tax credit certificate based on the report of the processing office concerned, provided that the facts are not disputed which shall first be verified by the Office where the request was filed.

Offices, which have pending request for rulings considered as “No-Ruling Areas” shall either advise the taxpayer in writing that they are covered by this Revenue Bulletin or shall endorse the request to the Office or Committee concerned.

The abovementioned list shall be posted by the appropriate Office concerned in a conspicuous place for viewing and could also be found in the BIR website (www.bir.gov.ph). Likewise, official copies and any amendments herein shall be filed with the University of the Philippines Law Center. This list shall be expanded and updated from time to time by subsequent Revenue Bulletins issued for that purpose.